exceeds labour supply. According to classical theory, this causes the nominal wage rate to increase to W_1 (in equal proportion to the increase in price level) such that the original level of real wage is maintained (that is, $W_1/P_1 = W_0/P_0$). Thus, there is no change in the equilibrium level of employment N_F. (See panel (a) of Fig. 1.5). At the earlier wage rate and employment level, the real output is not affected, as seen in panel (b) of Fig. 1.5. To conclude, when there is an expansion of money supply, the nominal wage rate and price level increase without affecting the levels of real wage, employment and output. Such independence of real economic variables from changes in money supply is called neutrality of money.

There is a crucial limitation to the neutrality of money. It is a basic result derived from the full-employment equilibrium that is based on the full flexibility of prices. If increase in money supply (resulting in higher prices) had no real effects, then inflation would not have been a serious concern in an economy. Inflation, however, is a serious problem as has many adverse effects such as decrease in quality of life of people, decrease in economic growth, etc. Thus, measures are taken to control inflation and maintain price stability in an economy.

1.4.3 Saving-Investment Equilibrium

You should note that classical theory emphasized on the function of money that it is a medium of exchange. According to the classical school money is demanded for transaction purposes only. Hence, supply of and demand for money in the classical theory do not determine the equilibrium rate of interest. An increase in the quantity of money does not affect the real rate of interest. Thus, there is no change in the level of saving and investment (see, Fig. 1.6). This shows that when money supply rise, it does not disturb the capital market equilibrium (or saving-investment equality) and the level of full-employment equilibrium remains unchanged.

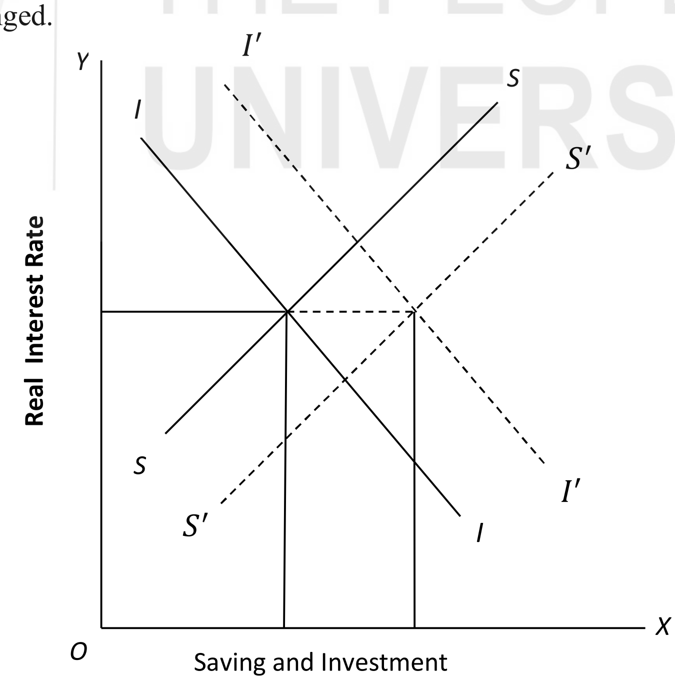

Fig. 1.6: Capital Market Equilibrium

An increase in money supply will lead to an increase in prices. Due to the higher prices, nominal investment expenditure will increase. However, according to classical theory, such increase will be proportional to the increase in prices. Therefore, investment expenditure in real terms will not change. This is explained diagrammatically in Fig. 1.6. We measure real interest rate on the y-axis and nominal value of saving-invest on the x-axis. The increase in money supply causes the supply curve of nominal saving to shift downward to the right from SS to $S'S'$. Simultaneously, the investment demand curve will shift upward from II to $I'I'$ by the same amount. It implies that the interaction of $S'S'$ and $I'I'$ determines the interest rate without affecting real saving and real investment at the higher price level too.

1.5 LONG RUN VS. SHORT RUN

In general, supply and demand fluctuate for various reasons, which affects the level of output. There is considerable difference between short-run and long-run fluctuations in output. Most economists believe that the behavior of processes is different between the short run and the long run. In the long run, prices are flexible, which may be affected by changes in supply or demand. In the short run, most of the prices are "sticky'' at the pre-determined level. As the behaviour of prices in the short run is different from that in the long run, the effects of economic events and policies vary over different time horizons. Classical theory is considered to be applicable in the long run. In the short run, we may need a different analytical framework. In Unit 2 we discuss the Keynesian model, which is more applicable in the short run.

Let us explain the price behavior in both the short-run and long-run in Fig. 1.7. Aggregate supply is the total amount of goods and services that firms sell in an economy. Aggregate demand is the total quantity of goods and services that are purchased. In a standard AS-AD model, output (Y) is presented on the X-axis and price (P) is on the Y-axis. The long run aggregate supply curve (AS_{LR}), which denotes the potential output (full employment output) of the economy is given by a vertical line at Y^*. The short-run supply curve is upward sloping (AS_0). The interaction of supply and demand determines the equilibrium level of output (Y_0). In the short run, an outward shift in the supply curve (from AS_0 to AS_1) results in rising output (from Y_0 to Y_1) and falling prices (from P_0 to P_1). An outward shift in the AD curve (from AD_0 to AD_1) also results in rising output (from Y_0 to Y_2) but rising prices (from P_0 to P_2).

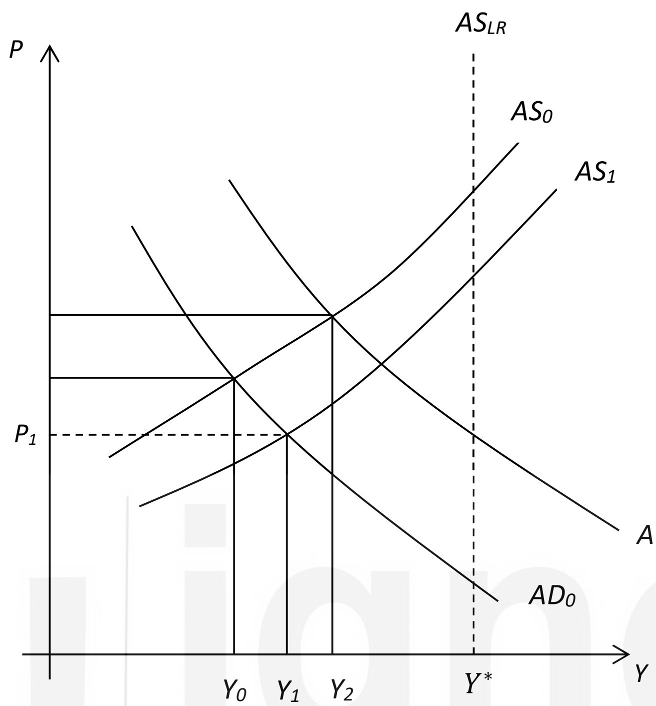

Fig. 1.7: Determination of Prices in the Long-Run and Short-Run

Let us look into certain other situations. Short-run fluctuations in nominal variables usually result in a change in the output level, as macroeconomic variables not fully flexible. An increase in money supply, for example, will shift the AD curve to the right (i.e., aggregate demand will increase). This will increase prices and income. In contrast, a decrease in money supply will result in a shift in the AD curve to the left, which will decrease both prices and income. According to the classical theory an increase in money supply leads to increased prices without affecting the real output. This may be applicable in the long run, not in the short run.

Check Your Progress 3

1) What is meant by classical dichotomy?

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